

Affinius's \$1B Data Center Fund Shows Institutional Capital Is Chasing Power, Not Real Estate

The Texas manager's near-\$1bn raise, anchored by a Canadian pension, reveals the infrastructure premium driving CRE's hottest sector.

The most important number in Affinius Capital's near-\$1 billion data center fund raise is not the \$905 million raised to date. It is the identity of the anchor investor: La Caisse de dépôt et placement du Quebec, one of North America's most deliberate institutional allocators. Canadian pensions do not chase yield. They chase structural advantage.

When La Caisse backs a first-time fund in a new strategy, it is not making a sector bet. It is making a scarcity bet. Affinius, the Texas-based manager formerly known as USAA Real Estate, has pulled in \$905 million toward a \$1 billion target for its first dedicated data center vehicle, according to PERE News. The fund is US-focused.

The capital is coming from institutions that have decided that data centers are no longer a niche real estate allocation. They are an infrastructure allocation with real estate characteristics. That distinction matters for every capital markets participant watching the sector. Data center development has become the most capital-intensive form of commercial real estate.

A single hyperscale campus can require \$1 billion or more in total investment, with power infrastructure alone consuming 30 to 40 percent of the capital stack. Traditional real estate equity has struggled to keep pace. The returns are attractive, but the construction timeline, the tenant concentration, and the technological obsolescence risk require a different underwriting muscle. Affinius is not raising this fund because data center rents are rising.

It is raising this fund because the supply of institutional-grade data center development opportunities now exceeds the supply of institutional capital willing to underwrite power, permitting, and pre-leasing risk. The manager is positioning itself as the intermediary that can source, entitle, build, and stabilize assets that pensions cannot develop on their own.

La Caisse's participation signals that the pension sees Affinius as having a repeatable sourcing and execution advantage, not just a good pipeline. That is the difference between a fund that closes and a fund that scales. The capital pressure underneath this story is straightforward. Hyperscale cloud providers and AI compute tenants are signing leases at a pace that outstrips the development community's ability to deliver powered shell space.

The bottleneck is no longer demand. It is capital that can tolerate the development timeline, the basis risk, and the power procurement complexity. Traditional core real estate capital cannot underwrite that. Infrastructure capital can, but it demands infrastructure-style returns and infrastructure-style governance. Affinius is effectively building a bridge between the two capital pools. Who benefits from this fund closing? First, the hyperscale tenants, who gain another credible development partner with institutional backing.

Second, the existing data center developers who lack the balance sheet to scale, because Affinius will likely acquire or partner with platforms that have land and permits but need equity. Third, the LPs who get access to a return stream that is partially correlated with traditional real estate but driven by a different demand cycle. Who is exposed?

Traditional office and retail landlords who are watching institutional capital rotate out of their sectors and into power-intensive assets. Also, data center developers who cannot demonstrate a clear path to power, permitting, and pre-leasing. The capital is not flowing to all data center stories. It is flowing to stories that can survive institutional underwriting. The market should watch whether Affinius can deploy this capital within its stated timeline.

A \$1 billion fund is large enough to move the needle but small enough that deployment discipline matters. If Affinius can deliver stabilized assets within underwriting, it will raise a larger successor fund. If it struggles, the capital will consolidate around the few managers who have already proven they can execute at scale. Affinius is not raising a real estate fund. It is raising a power-access fund that happens to own buildings.

The distinction will define the next phase of data center capital formation.

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We work across acquisitions, refinancings, recapitalizations, and development projects, with a focus on clear strategy, credible execution, and capital that fits the deal.

To discuss a financing need, recapitalization, or capital strategy:

ben@lighttowergroup.co

lighttowergroup.co